

The Complete Financial Guide for Young Couples

loss is just as great. The only way you can lower the risk is with your personal expertise: knowing how and where to buy and then how and where to sell.

In our case, we got started by another friend who was buying and selling antique cars. We saved a great deal of both time and money by tapping into his knowledge although, to tell you the truth, we have lost money on some cars. Usually it has been when we bought what we liked rather than what would sell the best. Don't get personally attached to collectibles, or they will become purchases rather than investments.

UNDEVELOPED LAND: In the late '70s and early '80s, a great way to make money was buying undeveloped land to hold for development in growth areas. The advantage of this kind of investment is that it has utility.

Let's assume that you buy some residential lots near where you live to sell to potential homeowners. Even if the market in undeveloped lots is not doing well, it is possible to joint venture with a residential builder where he would build on your lots and pay you as the homes sell. So you do have more than one option.

You can make money speculating in undeveloped land, but the risks are high. I would probably grade this 10+, but the return is also potentially high, 8-9.

PRECIOUS GEMS: These include diamonds, opals, rubies, sapphires, and the like. One advantage with gems is that they are available for relatively small amounts of money. You can have them mounted into a ring or a pendant and wear them while you're waiting for them to appreciate. The potential risks are very high. For every person I know who made money in gems I know a hundred who lost money. First, it's very difficult to tell quality gems from average ones. Second, it's very difficult to dispose of gems at a fair price unless you have your own market. For instance, unless you own a jewelry store or know somebody who does, it's sometimes difficult to dispose of them except at wholesale value or below.

Many people have invested in diamonds, believing that they were one of the most dependable areas to invest, only to find